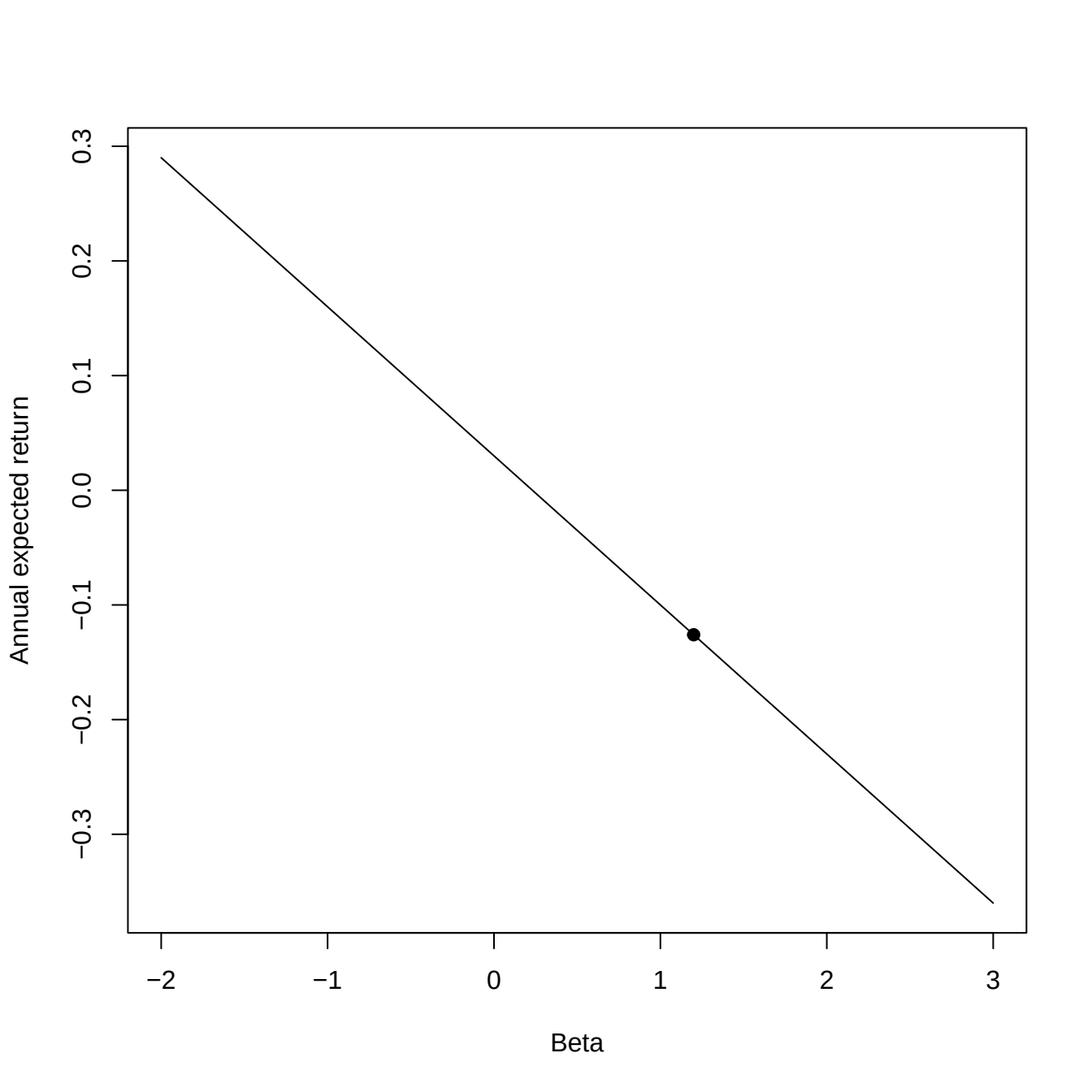
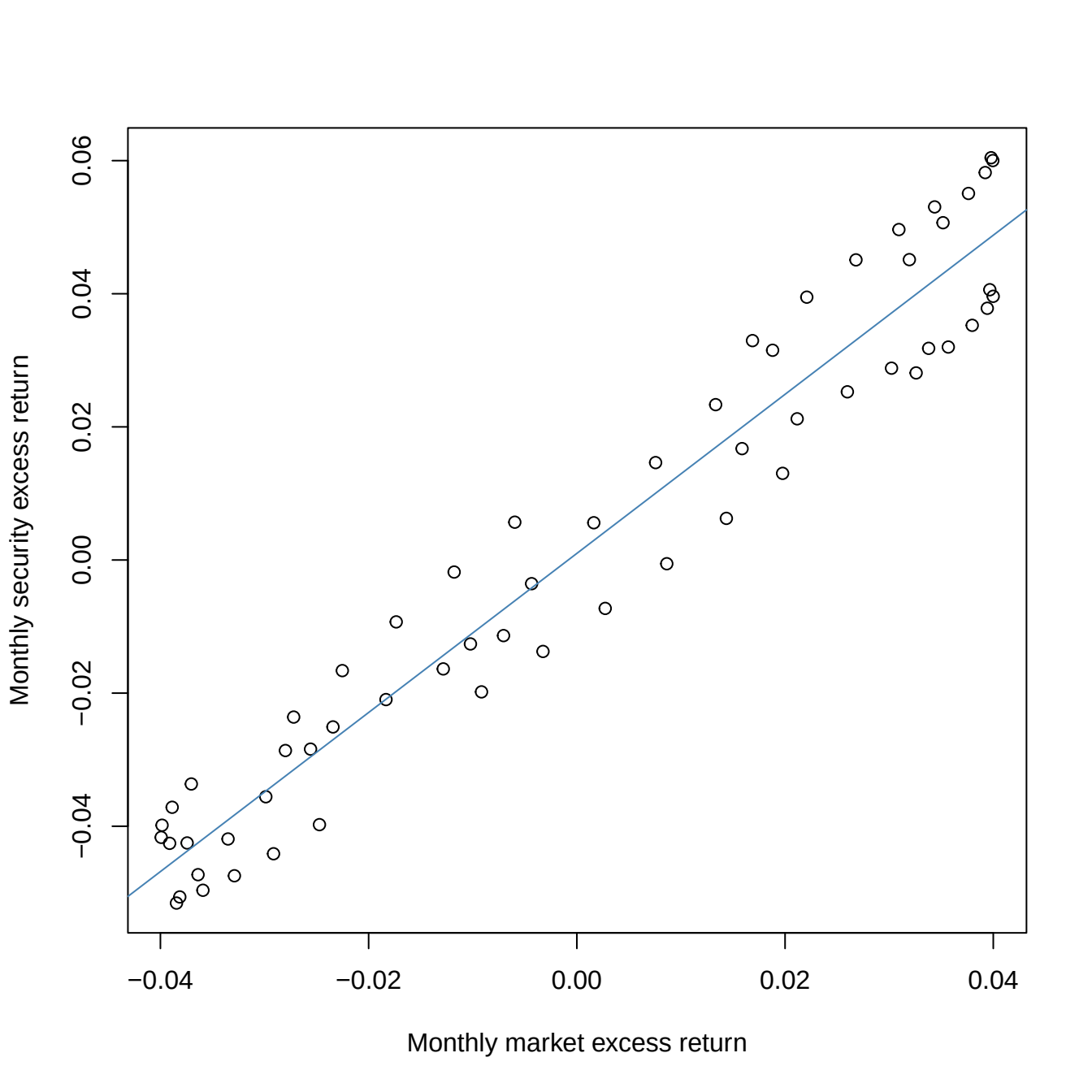

Annual expected return
0.3
0.2
0.1
0.0
−0.1
−0.2
−0.3
−2
−1
0
1
2
3
Beta


Monthly security excess return
0.06
0.04
0.02
0.00
−0.02
−0.04
−0.04
−0.02
0.00
0.02
0.04
Monthly market excess return